

in the next section). All of these things are guaranteed to save you significant amounts of money in the long run.

When Should I Buy a Home?

This is the most important and most difficult question for people who are thinking of buying a home. The answer is not when you reach a specific age, when you have a certain salary, or when you have a family. The right time to buy a home is when you are financially ready. The following are rules of thumb that indicate you are not yet ready to buy a home.

- **You still have substantial debt.** Buying a home will likely be the largest amount of debt you take on. Before you do this, you should make sure your other debts have been paid. If you unexpectedly lose your job, you don't want to be faced with credit card, student loan, and auto debt on top of your mortgage debt.
- **You do not have enough money for a down payment of at least 10–20%.** The more money you can contribute toward a down payment, the lower your monthly payments will be. And if you put down 20% or more, you will not need to pay **private mortgage insurance (PMI)**, which is a payment that's typically required every month until you have 20% equity in your home.⁶⁸
- **Your monthly payment will be over 30% of your monthly take-home pay.** As you learned in the chapter

68 "What Is Private Mortgage Insurance?," DaveRamsey.com, accessed November 10, 2020, <https://www.daveramsey.com/blog/what-is-pmi-private-mortgage-insurance>.